The “CBA Bulletin” monthly of the Central Bank of Armenia has a section *Monetary Overview* which contains the 8th of May 2012 CBA Board Meeting’s Minutes on Refinancing Rate for May of 2012, and information on monetary, external, fiscal and real sectors, and data on payment and settlement system and the main financial system ratios.

The source of information on real sector (excluding core inflation) and external trade is the National Statistics Service of Armenia (http://www.armstat.am). The source of information on fiscal, external sectors (excluding external trade), monetary and financial statistics, core inflation and payment and settlement system is the Central Bank of Armenia. The monetary and financial statistics includes information on monetary indicators and the main financial market and financial system ratios.

Monetary indicators have been prepared based on the CBA’s *Monetary and Financial Statistics of the Republic of Armenia Manual* which is available on the CBA website in the section *Statistics*. The monetary indicators and Armenia’s international reserves have been computed on an accrual basis.

The information on monetary indicators and Armenia’s international reserves is subject to adjustment per quarter and per annum in order for the closing entries of the CBA operations to be included in these indicators. The quarterly data and the annual data shall be adjusted (treated as final) two months after the end of the reporting quarter and three months after the end of the reporting year, respectively.

The timetable for publication of statistical data is available on the CBA website in the section *Statistics*.

For questions and recommendations please contact:

The Statistics Department

Telephone: (374 10) 592-562

Facsimile: (374 10) 583-631

E-mail: sd.mpd@cba.am

The *Monetary Overview* and other CBA publications are available on the CBA website: http://www.CBA.am

TABLE OF CONTENTS

BOARD OF CBA

MINUTES
(08.05.2012)

Refinancing Rate for May of 2012

The 8th of May 2012 CBA Board Meeting attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Oleg Aghasyan, Aharon Chilingaryan and Vakhtang Abrahamyan.

The Board Meeting, which opened with presentation of Situation Report, discussed the current developments on inflation, external environment and real, fiscal and monetary sectors.

In April of 2012, 0.6 percent deflation was recorded; relative to the previous month, the 12-month inflation has reduced by 0.6 pp and reached 1.9 percent. Increased food prices made 0.8 pp of contribution to the 12-month inflation; non-food prices' and service tariffs' contributions were 0.7 pp and 0.5 pp, respectively. The month's deflation was mainly driven by 7.6 percent decrease of vegetable prices, with its contribution of 0.5 pp.

In the period January-March of 2012, relative to the same period of the previous year, the Economic Activity Indicator has been 6.1 percent. Output volumes reported in industry and services have increased by 16.4 percent and 11.5 percent, respectively. Output volumes in agriculture remained unchanged compared to the previous reference period whereas they reported 5.5 percent decline in construction.

In the period January-March of 2012, relative to the same period of the previous year, the current account of Balance of Payments continued improving mostly due to increased remittances of natural persons and contraction of Balance of Trade deficit. In the period January-February of 2012, relative to the previous reference period, external trade turnover indicators were as follows: export (trade statistics – FOB) and import (trade statistics – CIF) have grown by 32.4 percent and 9.8 percent, respectively.

In the beginning of 2012 the fiscal policy's impact on aggregate demand was contractionary, attributable to savings on public expenditures.

The developments in the financial market were as follows: in April the Central Bank continued implementing a neutral monetary policy in consideration of inflation forecast for up to the end of the year. In the financial market, interest rates remained unchanged on the whole, with average market repo rate amounting to 9.92 percent, interbank repo rate, 9.45 percent, market rate of treasury bills with up to 1-year of maturity, 8.93 percent, and interest rate of stock exchange-traded interbank loans, 8.64 percent.

In April of 2012, relative to the previous month, the average dram exchange rate performed as follows: the dram depreciated versus the U.S. dollar by 0.74 percent and reached AMD 392.13; the dram depreciated versus euro by 0.74 pp and reached AMD 515.98, and versus the ruble it remained mainly unchanged, amounting to AMD 13.29.

In view of the said developments in the financial market, the monetary indicators performed, as of the 28th of April, in the following manner: the 12-month growth of dram broad money was 23.7 percent, somewhat faster from that of broad money (20.7 percent), owing to 41.1 percent increase in dram deposits. The 12-month growth of foreign currency deposits was 16.9 percent (11.2 percent, when impact of the change in exchange rate is excluded). In the meantime, the dollarization has subdued by 1.4 pp (by more than 3 percent). Growth rates of economy lending remained strong, 32.9 percent.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic environments as well as the monetary policy directions.

In April of 2012 international prices of main raw materials and commodities showed deflationary trends. The Food Price Index in April of 2012 dropped by 1.4 percent against the previous month and it reported 8.9 percent decline relative to the same period of the previous year. In April international wheat price reduced by 6.2 percent, sugar price, by 7 percent, but rice price increased by 6.5 percent due to less-than-estimated harvest in Indonesia. More to that, uncertainties over state regulatory mechanisms in Thailand add to the tension in the rice market.

In April of 2012 copper price fell by 2.7 percent and oil price, by 3.5 percent.

Despite existing inflationary pressures driven by oil price increases, in April the policy rate of the U.S. Fed stayed unchanged, in the range 0 – 0.25 percent, in consideration of moderate pace of economic development in the U.S.A.

In May, the European Central Bank again left the refinancing rate unchanged in spite of inflation higher than the forecast for 2012.

The Board evaluated that pressures from food and raw materials prices in international markets on the domestic inflation environment are not anticipated. Despite relative price fluctuations with such commodities (mainly oil and wheat), their impact is generally estimated to be neutral.

The Board admitted that the domestic economic developments suggest no expanding of the inflation environment: the growth of private spending and impact of the fiscal policy are non-inflationary.

The Board summed up that the world and domestic economies are progressing in compliance with the baseline scenario outlined in the first quarter 2012 monetary policy program, and there is much probability that the 12-month inflation will be within the confidence band of 4%±1.5 pp in the forecast horizon. The Central Bank will therefore find it reasonable to maintain the policy rate at the 8 percent level, which will leave a neutral impact on the inflation environment.

In the continued perspective of economic developments the forecast inflation will rest within the lower bound of the band. In this case, the Board will consider easing of the monetary conditions.

In the 8th of May 2012 meeting the Board left the Refinancing Rate unchanged, at the 8.0 percent level; the Lombard Repo Rate and Deposit Facility Rate were left at 11.0 percent and 5.0 percent, respectively.